

Particulars	Strike Price	Price
1 Nifty put bought	25,000	₹160
2 Nifty put sold	24,800	₹70
1 Nifty put bought	24,600	₹30

Here, the margin required is ₹80,000.

Let us calculate the costs, risks, and rewards.

$$\text{Net premium paid} = ₹160 + ₹30 - ₹140 = ₹50$$

$$\begin{aligned} \text{Maximum reward} &= \text{Spread} - \text{Net premium paid} \\ &= 200 - ₹50 = ₹150 \end{aligned}$$

$$\begin{aligned} \text{Break-even range} &= \text{Strike price of put options sold} \pm \text{Net premium paid} \\ &= 24,800 \pm ₹150 \\ &= 24650 \text{ and } 24950 \end{aligned}$$

Let us see how this strategy plays out for different prices.

Particulars	Nifty at 24,800	Nifty at 25,400	Nifty at 24,200
Outcome of buying Nifty 25,000 put	Gain = 25,000 - 24,800 - ₹160 = ₹40	Premium of ₹160 lost	Gain = 25,000 - 24,200 - ₹160 = ₹640
Outcome of selling Nifty 24,800 puts	Premium of ₹140 captured	Premium of ₹140 captured	Loss = (24,800 - 24,200 - ₹70) × 2 = ₹1,060
Outcome of buying Nifty 24,600 put	Premium of ₹30 lost	Premium of ₹30 lost	Gain = 24,600 - 24,200 - ₹30 = ₹370
Net outcome	Gain of ₹150	Loss of ₹50	Loss of ₹50